1. Loan Request

Borrower	Baltic Cement Industries SIA (LV-40203456789)
Loan Amount	EUR 45 million
Purpose	Refinancing of existing bank debt and capex for alternative fuel conversion
Tenor	5 years, semi-annual amortisation
Pricing	EURIBOR 6M + 280 bps
Collateral	First-priority mortgage on Riga plant, pledge on inventory
Financial Covenants	Net Debt/EBITDA < 4.5x, Interest Coverage > 2.0x

2. Use of Proceeds

EUR 30 million: refinancing of existing bilateral loan maturing Q3 2026.
EUR 15 million: investment in alternative fuel handling infrastructure at the Riga plant, enabling replacement of 40% coal consumption with refuse-derived fuel (RDF) by 2028.

This capex is expected to reduce annual carbon emissions by approximately 180,000 tCO2e and lower fuel costs by EUR 8-10 million per year.

3. Key Risks

- EU ETS: carbon price above EUR 100/t would significantly impact margins
- CBAM: Cross-Border Adjustment Mechanism could affect export competitiveness
- Environmental: ongoing regulatory inspection for dust emissions
- Governance: concentrated ownership structure, limited board independence
- Market: Baltic construction market cyclicality
- Transition risk: cement industry faces long-term structural pressure from carbon pricing and taxonomy non-alignment